RESEARCH SUMMARY · FDIC DATA THROUGH 2026 Q2

CRE Watchtower

Tracking commercial real estate loan stress across U.S. regional banks

Cheap commercial real estate (CRE) loans made in 2021 are coming due in 2026–2027 at much higher interest rates. This project uses regulatory filings to measure which regional banks are most exposed, tracks how fast their bad loans are growing, and tests whether its own warning flags were followed by real losses.

165 of 167

banks in the KRE regional bank ETF matched to FDIC filings (190 charters)

33 banks

(20%) hold CRE loans above the 300%-of-capital supervisory guidance

3.8×

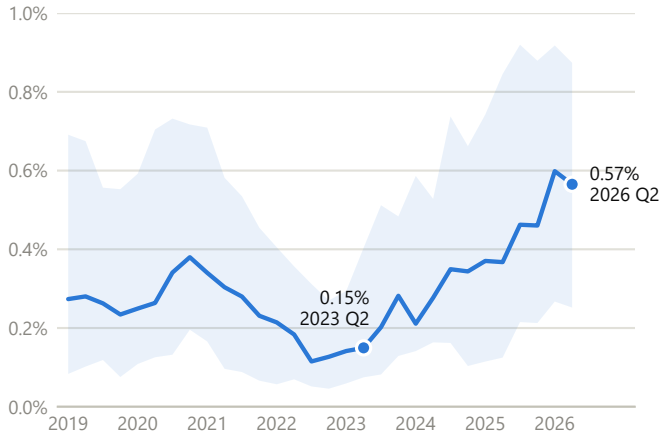
rise in the median bad-loan rate at the 73 most concentrated banks since 2023 Q2 (0.15% to 0.57%)

+6.7 bp

more CRE loans written off by flagged banks over the next 4 quarters

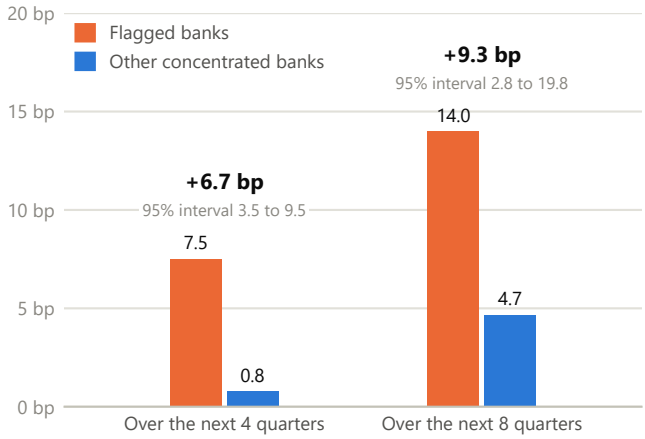
Bad CRE loans keep grinding higher

Median nonaccrual rate on CRE loans, 73 banks with CRE loans of 250%+ of capital. Shaded: the middle half of banks.



Flagged banks went on to write off more

Median CRE net charge-offs after the flag date, in basis points of CRE loans (1 bp = 0.01%).



What the data shows

- Exposure is widespread. The median bank's CRE loans equal 237% of its capital; 73 of 162 banks (45%) are above 250% and 33 are above 300%.
- Among those 73 concentrated banks, how concentrated a bank is says almost nothing about whose loans are going bad (rank correlation 0.015).
- Their median bad-loan rate rose from 0.15% to 0.57% in three years: a steady grind, not a cliff.
- Banks the model flagged went on to write off more CRE loans than other concentrated banks: +6.7 bp over the next 4 quarters (95% interval 3.5 to 9.5) and +9.3 bp over 8 (2.8 to 19.8).

How it works

- Matches the KRE banks to quarterly FDIC Call Reports from 2019 Q1 to 2026 Q2: 5,758 bank-quarters, with multi-bank holding companies combined across all their charters.
- Fits a 13-quarter trend to each concentrated bank's bad-loan rate and flags banks where it is both high and rising.
- Backtest: flags are recomputed at each past quarter using only the data available then. Intervals come from a bootstrap that resamples whole banks.
- A daily dashboard adds market volatility, Treasury yields, credit spreads and monthly CMBS distress figures.

Limits

- Only today's index members are tested (banks that already failed or left are missing), and the sample covers one stress episode.
- It is not a failure predictor: of 11 testable FDIC bank failures since 2020 it flagged 3, including Signature Bank. It did not flag Silicon Valley Bank or First Republic, which failed from deposit runs and interest-rate losses.